

Delinquent History of a Fictitious Auto Loan Owner: Customer #4320876

Introduction Customer #4320876 is a 34-year-old delivery driver living in Madison, Wisconsin. In February 2021, he took out an auto loan to purchase a compact cargo van to support his small courier business. The loan, issued by Northern Plains Financial, totaled \$24,300 with a five-year term and a 6.2% interest rate. This document outlines his payment history, financial disruptions, and ultimate loan resolution.

Strong Start and Business Growth For the first year, Customer #4320876's courier business expanded rapidly due to rising demand for home delivery. His monthly payment of \$395 was consistently made on time from February 2021 through March 2022. His credit score rose from 648 to 675, and he acquired two new commercial clients that increased his revenue.

Operational Challenges In April 2022, fuel prices spiked significantly. Since fuel accounted for nearly 40% of his business expenses, his profit margins shrank rapidly. He continued making payments but began to rely more heavily on credit cards to manage cash flow.

Equipment Failure and Missed Payments In July 2022, the cargo van suffered a major transmission failure costing over \$2,800. Unable to afford repairs upfront, his vehicle was out of service for three weeks, causing a substantial revenue loss.

He missed his first payment in August 2022. After contacting Northern Plains Financial, he received a one-month extension and resumed payments temporarily.

Declining Revenue and Increasing Debt By October 2022, two of his commercial clients shifted to larger logistics providers, reducing his monthly income by nearly 35%. He missed October and November payments, pushing his account 45 days delinquent.

The lender offered a hardship plan: - Reduced payment of \$250 for three months - Remaining balance added to loan principal

Although he accepted, rising credit card debt, high fuel prices, and inconsistent delivery work made it difficult for him to sustain payments.

Severe Delinquency In March 2023, the customer missed three consecutive payments. His account entered 90+ day delinquency status. Northern Plains Financial escalated the loan to their loss mitigation department.

The customer explained that he had taken on part-time warehouse work but was still short on income. The lender proposed a temporary forbearance, but he could not meet the documentation requirements in time.

Repossession In May 2023, after 120 days of non-payment, repossession was approved. The cargo van was recovered in early June.

Auction and Deficiency Balance The vehicle sold for \$10,900 at auction, leaving a deficiency balance of \$4,300. The lender notified the customer per state regulations.

Settlement and Financial Recovery In August 2023, Customer #4320876 reached out after securing stable employment with a regional transportation company. He negotiated a settlement: - \$1,900 paid over 10 months - Remaining deficiency forgiven

He completed the settlement in June 2024. His credit report now reflects the account as "Settled - Less Than Full Balance."

Analysis and Lessons Learned Customer #4320876's delinquency was primarily driven by economic volatility in the delivery market, unexpected repair expenses, and high operating costs. The lender followed proper servicing and collections protocol, offering multiple workout options aligned with the borrower's financial capacity.

Conclusion This case illustrates how self-employed and gig-economy workers are uniquely vulnerable to income swings and operational disruptions. With responsive communication and flexible lender programs, even distressed accounts can reach a practical resolution.